01 · COVER

MΛÐ GAMBIT · CONVICTION SERIES

# MΛÐ Gambit
# Prediction · Conviction · Affliction

AN EVM-NATIVE CONVICTION MARKET FOR ENTERTAINMENT AND CREATOR ECONOMIES

| RAKE | CREATOR LADDER | WAITLIST · NOT USERS | ENTITY |
|---|---|---|---|
| 1.88% | 28.8→40% | 15,000 | New Mexico LLC |
| IMPLEMENTED | 60% CREATORVIP | SELF-REPORTED | FILED MAR 2026 |

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MΛÐ Gambit is the platform. **MADHAT's Gambit** is the card game line inside it.

**How to read this deck.** Every claim carries a state — IMPLEMENTED in code, DEMONSTRATED in a demo, VALIDATED by evidence, CONCEPTUAL. Authority order: code → published data room → founder canon. Nothing is presented as shipped that is not.

02 · THE ELEVATOR

THIRTY SECONDS

# Internet culture becomes event contracts people play daily.

**MΛÐ Gambit is the entertainment-first prediction-conviction market** in a Web2-smooth wrapper — built for repeatable conviction plays on viral media culture, with MADHAT's Gambit as the card game that carries them.

STEP 01

### A creator makes a market

From a live headline, in the wrapper. No order book to understand, no counterparty to find.

STEP 02

### People take a position

Through a card or a stake. The action is legible to someone who has never used a DEX.

STEP 03

### The market prices continuously

Not just at resolution. Conviction is continuous, so the market never has to close.

**Corrected from the current deck.** FIXED The elevator line named *MADHAT's Gambit* as the platform. That inverts the product — a conviction market reads as a card app, and the maths never gets heard. **MΛÐ Gambit is the platform; MADHAT's Gambit is the card game line.**

## THE THREE SENTENCES UNDERNEATH

- **Culture is the asset.** Prediction is the dynamic layer. Creators own the economics.
- **Binary markets are a supporting format**, not the product — conviction-first, post-web, progression and perpetual markets with psychographic and sentiment modelling.
- The economics are enforced in the contract, built on sound mathematics — not asserted simply in a deck.

03 · TEAM

FOUNDER AND TWO CO-FOUNDERS

# A small team that has already shipped.

A ×3 founder and deep generalist with one exit; a COO from the Asimov/NEAR ecosystem and a boutique MSP venture; and a Wharton Honors economist who heads economics and finance and keeps the maths. Self-funded, they built a working MPP and a live mathematical & algorithmic engine.

FOUNDER · MAÐ GAMBIT

### Nick J. McLeod

**14+ years a founder (×3)**, 8 years Blockchain / Web3. 1 exit (undisclosed): Rogues Custom, **$1.1M in sales in 18 months**. Self-funded the MPP and live engine. Boardy Pro Advisory Board member (invite-only, 2026). Led BD, GTM and investor relations at Kaisar Network (2025).

CO-FOUNDER · COO

### Carlo B. Fernandez

**10 years Web3.** Former C-suite at Asimov/Near Protocol. Repeat founder. Founded Fernanz (2021–26): AI automation that lifted lead-to-client conversion 13% and cut manual follow-up 40%. Product Operations at NYALA: regulated tokenized-asset issuance.

CO-FOUNDER · HEAD OF ECONOMICS & FINANCE

### Zena Shah

Honours Economics (Finance), The Wharton School. Advisory to the Ontario Government. **Keeper of the Maths:** accountable for the economic model behind the live engine. Heads finance for the company.

## WHAT IS BEING FUNDED

An accountable technical partner against explicit milestones, with equity vesting on deliverables. **Not a dev shop on retainer.** The engine, the economics and the operating plan are already in the room.

04 · THE PROBLEM

SLOT RECONSTRUCTED — BOARDY'S 4-8 NOT SUPPLIED

# Truth machines. Liquidity machines. Nobody prices culture.

TRUTH MACHINES

**Polymarket · Kalshi**

Settle a fact. Excellent at resolvable questions with a clean terminal date. **The market ends when the fact arrives** — and so does the user's interest.

LIQUIDITY MACHINES

**Sportsbooks**

Price risk and take the other side. Deep books, but the house is the counterparty and the product is the wager, not the belief.

THE GAP

**Continuous conviction**

Most cultural storylines have no clean terminal date. A claim's truthfulness, a saga's arc, a mental model's persistence. **They never resolve. They can still be priced.**

## THE SHARPEST THING ON THIS SLIDE

Where "peer-to-peer" markets go one-sided, professional market makers step in to carry the risk — that is a sportsbook position under a different regulator. **The difference here is not a better price, it is a different counterparty:** the creator who makes the market earns 28.8% to 40% of its rake by traction — 60% at the exclusive CreatorVIP tier.

THIRD-PARTY ANALYSIS · A PUBLIC TEARDOWN, NOT OUR CLAIM

**Event fatigue is the structural problem.** A binary market is a task that completes: one spike, then the position and the interest both vanish. Every retention mechanic bolted onto a binary product is fighting that shape. A perpetual does not close the loop at all — which is why hold-time is a design output here, not a growth hack.

05 · THE PRODUCT

SLOT RECONSTRUCTED

# Five market types. Four of them perpetual.

`market-classifier.ts` exports `MarketType = progression | saga | zliar | perp | gossipcop`. Deterministic and heuristic — a priority cascade, no ML. The first rule that matches wins, which is why a 540-day gossip perpetual can never be filed as a Saga. IMPLEMENTED

FAMILY ONE · TYPE ZLIAR

### Z-Liar Meter

The only family whose subject is a **claim** rather than a storyline. LieScore runs continuously; each leg resolves on independent corroboration inside 45 days and the next leg opens on the same subject — so the meter never stops. Gate: LieScore ≥ 60 & dopamine. IMPLEMENTED

FAMILY TWO · TYPE GOSSIPCOP · V1.2

### Gossip-Cop

Celebrity, tabloid and hearsay sagas with no clean binary end — positions roll while the circus stays live. Satirical layer on the same maths: roast titles, ChaosMeter, card evolution. Gate: perpEligible & ≥365d & isGossip. IMPLEMENTED

FAMILY THREE · PERP ENUM · V1.1

### Perpetual Epiphanies

Continuous conviction on mental models, adages and urban legends — Murphy, Peter, Hofstadter, Littlewood; Sai Weng Shi Ma, Nana korobi ya oki, "no smoke without fire." **They resolve never, by construction.** Gate: perpEligible & !isGossip. IMPLEMENTED

FAMILY FOUR · NEWEST

### Open-Market Perpetual

The newest family in the perpetuals line. Shares the gdelt trigger, the DL-LMSR maker, the Shield, the optimistic oracle and the roll mechanic — what differs is the gate and the leg length. **Spec pending:** gate condition, leg length, enum treatment, and whether it files under `perp` like Epiphanies or earns its own value.

NEW · NOT YET IN THE CODE TAXONOMY

**Disclosure rule — the Z-Liar Meter prices a statement, never a speaker.** POLICY A market surface carries **the claim and only the claim**. Even where the speaker is known with certainty, the platform does not name them — no proper noun in the title, no handle, no photograph, no logo, no role descriptor specific enough to identify one person.

This is not a hedge bolted on afterwards. The code already says it: Z-Liar is **"the only family whose subject is a *claim* rather than a storyline."** The disclosure rule is that architectural fact enforced at the surface, and it is what makes a continuously-running truth meter defensible rather than a standing publication about a person.

**It is absolute, not surface-deep.** The platform does not name the speaker **anywhere** — not in the market, not in the resolution record, not in the settlement event. The subject of a Z-Liar market is a statement, and that is the only thing the system stores about it.

**What that costs, and how it is paid:** resolution still requires independent corroboration, and a corroborating source will usually name the speaker. So the record stores **a pointer, not a person** — the source URL and a content hash of the statement as published. A resolver can verify the claim against the source; the chain never holds the identity. Corroboration without attribution.

**Two consequences that must be handled, not assumed away.**
**(1) De-identification is harder than omitting a name.** A verbatim quote plus a date plus a context routinely identifies a person as effectively as naming them — and under an absolute rule that applies to the stored record too, not only the display. The rule needs a concrete test: *would a reader who follows the news identify the speaker from what the system stores?* If yes, the market does not open. That test belongs in `market-classifier.ts`, not in a style guide. It is also the single cheapest thing to build on this list.
**(2) Gossip-Cop is now the exposed surface, not Z-Liar.** Gossip-Cop is defined as celebrity and tabloid sagas with roast titles and satirical framing — inherently about named people. The statement-only rule does not reach it. Whatever protects Z-Liar leaves Gossip-Cop as the family carrying the real publication risk, and it needs its own policy before launch.
UNRESOLVED

**Open-Market Perpetual — three questions to close before it goes in front of anyone. (1)** What is the gate — the boolean or threshold that routes a market here rather than to Gossip-Cop or Epiphanies? **(2)** What is the leg length and the roll condition? **(3)** Does it need its own enum value, or does it file under `perp` the way Epiphanies does? Epiphanies earned no enum because the gossip boolean was enough to route it; Z-Liar and Gossip-Cop each earned one because their *resolution semantics* differ. Same test applies here.

## THE PLATFORM IS WIDER THAN THE MARKETS

Conviction markets are the wedge. The **1.88% rake is flat across every surface** — and several of those surfaces are venues, not markets.

SURFACE 01

### Conviction & prediction markets

The five market types and four perpetual families. DL-LMSR continuous pricing, creator-originated. ENGINE IMPLEMENTED

SURFACE 02

### Crypto swaps

Token swaps inside the wrapper. Same 1.88% rake, no separate fee schedule to explain. PLANNED

SURFACE 03

### P2P market

Peer-to-peer trading across the platform, on the same rake. PLANNED

SURFACE 04 · MARKET+

### All digital assets

Extends the venue beyond tokens to digital assets generally — the card economy's own secondary is a first-party case. NEW

SURFACE 05 · P2P ESCROW

### Decentralised escrow for token and digital-asset swaps

Non-custodial escrow as a venue in its own right. This is the surface with the clearest standalone demand — it does not need the conviction thesis to be true. NEW

SURFACE 06 · MICRO-LOANS

### Lending via Morpho

Micro-loans sourced through Morpho's isolated lending markets rather than a bespoke pool. Borrow against a position or a card; the risk stays in Morpho's market, not on the balance sheet. NEW · INTEGRATION

**Why this matters more than it looks.** A flat rake across six surfaces means **one number to explain, one number to audit, and one number in the contract**. It also widens the fee base far beyond conviction volume — which is a large part of why the Y3 model can exceed what conviction volume alone would produce. **Escrow and swaps have demand whether or not culture markets work.** That is a second leg the deck previously did not have.

**Corrected.** FIXED Earlier decks named ~~Liar Meter, Gossip Cop, Zeitgeist, Five Faces, Wire Meter~~ and described ~~five event or meme types~~. Those are not the code taxonomy. Progression and Saga complete the five types; the perpetual families are the four above.

05B · PREDICTION FORMATS

SIX FORMATS · ONE ENGINE

# Six ways to take a position. Three open to creators now.

Creator-made open markets and platform-run formats price on the same continuous engine and the same flat 1.88% rake. Binary, Multiple choice and Over / Under are the open-market formats. PvP, Progression and Chaos stay platform-run until they can be released into the open-market framework.

01 · OPEN

**Binary · YES / NO**

Creator-made markets. The format the 40% creator share applies to.

02 · OPEN

**Multiple choice**

Pick one outcome from several.

03 · OPEN

**Over / Under**

A line on a number: above or below.

04 · PLATFORM

**PvP · head to head**

Duels between two players, with trash talk.

05 · PLATFORM

**Progression**

Staged voting through a storyline.

06 · PLATFORM

**Chaos**

Wild-card markets on viral moments.

06 · THE ENGINE

13 SECTIONS OF MATHS · THE CODE IS THE AUTHORITY

# The economics are enforced in the contract, built on sound mathematics — not asserted simply in a deck.

§2 · CONVICTION — COBB-DOUGLAS

```
M = t^1.35 · c^0.75 · d^1.45 · ψ^1.15
    · (1+π^0.9) · m_meme · satire
    · liar · garch_amp
```

How much a position **means**, not how large it is. Exponents fixed by canon; proprietary coefficients stay server-side. IMPLEMENTED

§2 · VOLATILITY — GARCH(1,1)

$$\sigma^2_t = \omega + \alpha \cdot \varepsilon^2_{t-1} + \beta \cdot \sigma^2_{t-1}$$

$\omega$ 0.0001 · $\alpha$ 0.05 · $\beta$ 0.90

clamp $0.09 \le \sigma \le 0.68$

garch_amp = 1 + 0.8σ

**The clamp is the IP.** Below the floor a market is inert; above the ceiling it is a casino. Conviction gets amplified, never detonated. IMPLEMENTED

§2 · MARKET MAKER — DL-LMSR

$$C(q) = b \cdot \ln \Sigma\, e^{(q_i/b)}$$

$$P(i) = e^{(q_i/b)} / \Sigma\, e^{(q_j/b)}$$

A continuous book — buying moves price along a curve instead of matching an order. Liquidity b scales with volume. Half-Kelly default with position cap and δ-limit. IMPLEMENTED

§4 · THE LAYER THAT CAN SAY "DO NOTHING"

```
propagateTree → voiEstimate
→ computeEdge → shouldAct
→ Kelly f* → position cap
```

Log-odds beliefs fan out; value-of-information prices each branch. **Kelly is never called on a branch the tree has not cleared.** IMPLEMENTED

## CONTRACT ARCHITECTURE — BUILT ON THE MORPHO PATTERN

The contracts follow **Morpho Blue's design discipline**: a minimal immutable core, permissionless market creation, and **risk isolated per market** rather than pooled across the protocol. A Morpho market is defined by five fixed parameters — collateral asset, loan asset, LLTV, oracle, interest-rate model — and once deployed, the rules never change. MORPHO DOCS, VERIFIED

WHY COPY IT

### Isolation beats pooling

A bad market cannot drain a good one. For a platform whose whole premise is **permissionless creator-originated markets**, pooled risk would be fatal — one manipulated gossip perpetual would reach every position on the venue.

IMMUTABLE CORE

### Rules that cannot be changed

Matches the canon already asserted: the rake and the creator ladder are constants, never on the governance board. Morpho's pattern is that promise **enforced by deployment**, not by policy.

AUDITABILITY

### A small core is a small audit

The security line item in the early seed is far cheaper against a minimal immutable core than a large upgradeable one. This choice reduces the cost of the thing that has not been funded yet.

**State this as a pattern, not a partnership.** Following Morpho's architecture and integrating Morpho for micro-loans are two different claims. The integration is **planned, not built** — no deployed contracts, no agreement. Say "built on the Morpho pattern, with Morpho integration planned for lending" and nothing stronger. INTEGRATION CONCEPTUAL

## SETTLEMENT — THE OPEN PROBLEM, STATED OPENLY

The proposed **Triple-Threat Oracle Cascade** is social scan → staked delegate vote → creator veto under slashing. It is **specified, not shipped**, and twelve things are unvalidated: implementation, data rights, scraper reliability, oracle accuracy, delegate incentives, collateral rules, slashing, veto scope, dispute handling, latency, attack surface, and the legal characterisation of a veto.

CONCEPTUAL

**Never say "secure", "within minutes" or "100% DeFi secured" about the oracle.** REMOVED FROM THE PRIOR DECK The credible answer is a design answer: escalation depth should be a *value-of-information calculation per market*, using the Bayesian layer that already ships — a cheap market with an unambiguous outcome should never reach a panel; a contested one should skip the dispute window.

07 · TRACTION & EVIDENCE

CREDIBILITY BEAT · DO NOT CUT

# Here's what's live. And here's what isn't.

| COMPONENT | STATE | EVIDENCE |
|---|---|---|
| **DL-LMSR · GARCH · MADConv conviction** | IMPLEMENTED | gambit-game-math.ts |
| **Fee split · furnace burn cap** | IMPLEMENTED | revenue-engine.ts · #splitFee |
| **Market classifier · five types** | IMPLEMENTED | market-classifier.ts |
| **Bayesian layer · VoI · shouldAct · Brier/log scoring** | IMPLEMENTED | bayesian-conviction.ts |
| **Perp trigger · GDELT scandal velocity** | IMPLEMENTED | gdelt.ts · VADER lexicon, not a transformer |
| **SIWE auth** | IMPLEMENTED | In build |
| **Shield vault contract** | DEMONSTRATED | Foundry tests — not deployed |
| **Market factory · Z-Liar meter · agent layer** | DEMONSTRATED | Demo build |
| **Open-Market Perpetual** | NEW · IN DESIGN | Gate and leg length not yet specified |
| **Triple-Threat Oracle Cascade** | CONCEPTUAL | Specified only |
| **On-chain settlement · deployed market contracts** | CONCEPTUAL | Not built |
| **§12b — virality ODE, effective-time integral** | SPEC ONLY | Ship as discrete approximations (#viralityIndex, #attentionDecay); the closed forms are not in code |
| **§12b — projected brand move, ad-revenue loss** | RETIRED AT THE SURFACE | Cannot be published under the statement-only disclosure rule — both require a named entity. Internal / category-level only |
| **Security audit · independent review** | NONE | Not commissioned. An early-seed line item |
| **15,000 early sign-ups (email campaign)** | SELF-REPORTED | Waitlist. Not users, not retention, not revenue |

08 · MARKET OPPORTUNITY

BOARDY SLIDE 09 · REBUILT ON SOURCED FIGURES

# Drop the TAM. The category prints its own numbers.

CATEGORY MONTHLY VOLUME · 2026

**~$52.9B**

The Block · Jul 2026 SOURCED

WORLD CUP WEEK

**$50B+**

Beat traditional sportsbooks.
CoinDesk, Jul 2026 SOURCED

KALSHI · SOUGHT VALUATION

**$40B**

Jun 2026, up from $11B in Mar
SOURCED

POLYMARKET · ROUND IN TALKS

**~$21B**

Aug 2026, up from $9B in Mar
SOURCED

**This replaces the TAM slide entirely.** FIXED The deck's ~~$192.1B TAM / $500M SAM / $50M SOM~~ and the Mathematics & Algos Engine Room's ~~$167B+~~ were both uncited — and both are now **below the category's own run rate.** At ~$52.9B a month the category is annualising above **$630B**. You do not need a market-sizing argument. You need a share argument.

## THE SHARE ARGUMENT — BOTTOM-UP, CHECKABLE IN THE ROOM

| LINE | FIGURE | DERIVATION |
|---|---|---|
| **Category volume today** | ~$52.9B / month | Kalshi $40B + Polymarket $12.9B · Jul 2026 |
| **MAD Gambit Y3 target** | $3.03B / year | Mathematics & Algos Engine Room §13.06 — 750K DAU |
| **= monthly at Y3** | $253M / month | $3.03B ÷ 12 |
| **Implied category share** | 0.37% | $3.03B ÷ $819B Y3 category (conservative $300B 2026 base) |
| **Fee revenue at that volume** | $57.0M | $3.03B × 1.88% |

**"We are modelling 0.37% of the Y3 category"** survives a follow-up question. *"The TAM is $192.1 billion"* does not, and invites the one question you cannot answer: *where is that from?*

**The honest caveat — say it before they do.** Those incumbent volumes are **binary event contracts**: elections, sports, macro. Conviction markets on culture are adjacent, not the same product. So 0.37% of that category needs a bridge: either these users migrate to a continuous format, or the culture segment is additive. **That bridge is the Phase-3 pilot on the GTM slide** — one drama channel, one embedded widget, ninety days. Until it runs, the share number is a target, not a forecast.

## VALUATION CONTEXT — USE IT, CAREFULLY

Kalshi at a sought $40B and Polymarket at ~$21B against a **$12M pre-money** puts this **1,750× to 3,333×** below the incumbents. That frames the seed as *early*, not as expensive — which is the correct frame. It is **not** a comparable-multiple argument, and must never be presented as one: those are regulated venues with live volume, and this is a pre-deployment engine.

09 · COMPETITIVE LANDSCAPE

BOARDY SLIDE 10

# Gamified and social, between Web2 and Web3.

The stated advantages are **culturally native markets, daily retention loops, compounding liquidity, and explicit verifiable outcomes.** Three of those four are defensible today. The fourth — verifiable outcomes — is exactly the settlement problem on slide 6, so do not lead with it.

SAY THIS

**Two names, one axis**

"Polymarket settles facts. Sportsbooks price risk and take the other side. We price conviction continuously, and the creator who makes the market earns 28.8 to 40% of the rake, 60% at the top tier."

NOT THIS

**The six-logo grid**

DraftKings, Kalshi, Polymarket, Limitless, PredictIt, Pump.fun. **Six names is a category survey, not a position** — and every extra name invites a benchmark on a metric you have not built. REDUCED TO TWO

## WHERE EACH ADVANTAGE ACTUALLY STANDS

| CLAIMED ADVANTAGE | STATE | WHAT BACKS IT |
|---|---|---|
| **Culturally native markets** | IMPLEMENTED | GDELT trigger, emotion weights, deterministic classifier, Epiphanies catalog |
| **Daily retention loops** | IMPLEMENTED | Fibonacci VRS triggers [5,8,13,21,34], card wear, perpetual roll mechanic |
| **Compounding liquidity** | DESIGN | DL-LMSR b scales with volume — but low-volume behaviour is unmodelled |
| **Explicit, verifiable outcomes** | CONCEPTUAL | The oracle cascade is specified only. **Do not lead with this one** |

10 · FEATURE COMPARISON

BOARDY SLIDE 11 · REWRITTEN

# The comparison that survives a follow-up.

**The current grid is a liability.** REWRITTEN It compares against five platforms on "five event or meme types," "NFT/bond/token assets," "extreme virality," "staked pools," "rug protection" and "RPG-style UX." Four of those six are either unmeasurable, unshipped, or a claim you cannot defend line by line. **"Rug protection" must go entirely** — MAD Shield is opt-in, fee-funded loss mitigation with a capped recovery, not protection against counterparty fraud, and the phrase reads as a guarantee.

| DIMENSION | TRUTH MACHINES | SPORTSBOOKS | MAD GAMBIT |
|---|---|---|---|
| **Does the market close?** | On the fact | On the event | Never has to |
| **Who is the counterparty?** | Other traders + MMs | The house | The book · creator earns 28.8–40%, 60% VIP |
| **Can the subject be a belief?** | No | No | Yes — Epiphanies |
| **Can the system decline to act?** | n/a | n/a | Yes — VoI gate |
| **Is loss mitigation priced off the book?** | No | No | Yes — P(win)·√σ |
| **Is classification auditable?** | Manual | Manual | Deterministic cascade |

Six dimensions, two comparators, every row answerable. That is a comparison you can defend under questioning — a five-column feature grid is a list of promises waiting to be audited.

11 · THE MOAT

BOARDY SLIDE 12

# Habit is the loop. The maths is the moat.

RETENTION — REAL, BUT COPYABLE

**Card-game UX · quests · tournaments · social sharing · in-house content engine · RPG progression**

All of it works and all of it drives daily habit. **Every one is buildable by a funded competitor in a quarter.** Present it as the loop, not the moat.

MOAT — FOUR THINGS THAT ARE NOT

**What a competitor cannot copy in a quarter**

- **Continuous conviction** — no event-fatigue cliff, because there is no event
- **Creator counterparty economics** — a traction-gated 28.8→40% rake ladder, 60% for CreatorVIPs, lifetime and on-chain
- **A decision layer that declines** — Vol-gated action
- **The Epiphanies catalog** — surfaces that resolve never, by construction

## MAD SHIELD — THE MECHANISM, STATED PRECISELY

```
Premium = Stake × P(win) × √Volatility × SafetyMargin      clamped into the 2–4% band
recovery 28.8% standard · 40% MAXIMUM stop-loss · φ = 1.618033988749895
```

Opt-in, fee-funded loss mitigation. **The price of protection moves with the market it protects** — that is the differentiator, not the existence of a pool. PREMIUM MATHS IMPLEMENTED

VAULT + FOUNDRY TESTS

**Language that must never appear.** "Insurance" · "rug protection" · "no counterparty risk" · "regulatory-safe" · "industry's first" · "SEC compliant". Each is a legal conclusion you have not paid for or a claim you cannot evidence. REMOVED FROM PRIOR DECKS

**Name the tension before they find it.** Shield recovery protects capital *and* flattens the felt range of an outcome — at 60% recovery roughly two-thirds of the loss signal is removed. That is why opt-in targets sit at 35–40%, not 100%. The mechanism is deliberately not universal, and saying so is worth more than the mechanism.

**"Liquidity bond" is unclassified.** UNRESOLVED It appears in the moat slide but not in the Mathematics & Algos Engine Room, the code taxonomy or §13. Classify it — implemented, demonstrated or conceptual — or remove it. An unclassified item on a moat slide is the one a diligence analyst will pick.

**"Entertainment-first regulatory approach" is not a regulatory strategy.** State the uncertainty plainly instead: perpetuals are why this is not being built in Canada; New Mexico LLC filed; no legal conclusion is offered and none should be inferred.

11B · RISK REGISTER

RESTORED — A VC WILL ASK FOR THIS

# The eight ways this doesn't work.

01 · REGULATORY

### Perpetuals and prediction markets

Perpetuals are why this is not being built in Canada. New Mexico LLC filed. **No legal conclusion is offered and none should be inferred** — that requires counsel not yet engaged. Kalshi's CFTC approval is a moat for Kalshi, not a template here.

02 · ORACLE & RESOLUTION

### Subjective settlement

Unsolved and openly stated. Scraper reliability, GDELT data rights, delegate incentives and veto scope all unvalidated. The largest single technical risk.

03 · LIQUIDITY

### Low-volume markets

DL-LMSR needs a liquidity parameter that scales. **What a sustainable market looks like at low volume is not modelled** — and a thin book on a cultural underlying is where the model breaks first.

04 · SHIELD SOLVENCY

### Pool under correlated drawdown

Who bears the loss, how the pool is funded, and what happens when many positions lose at once. Needs a stress model with published assumptions before it is described to any investor.

05 · SECURITY

### No audit commissioned

Zero smart-contract audits. `MADCard1155.sol` and `MADCard721.sol` have no Foundry coverage. A funded line item in the early seed, not an oversight.

06 · KEY PERSON

### One architect

The technical team is one person. **That is the constraint being funded** — an accountable partner against milestones with equity, not a dev shop on retainer. See slide 03 for the unresolved COO question.

07 · MANIPULATION

### Wash trading, oracle gaming

The classifier is a rule cascade with hand-chosen splits. Adversarial behaviour against those splits has not been red-teamed. Brier and log scores exist to measure it — they have not been run in production.

08 · ETHICAL & REPUTATIONAL

### The engagement layer

The constants encode well-formed behavioural engineering. The σ ceiling and half-Kelly cap exposure **below** what a rational bettor would stake, by design. Any future work moves those numbers down. Stated deliberately, not defensively.

09 · SCOPE

### Six surfaces, one team of one

Conviction markets, swaps, P2P, Market+, escrow and lending is a lot of venue for a solo architect. **The rake being flat does not make the surfaces cheap to build.** Sequencing is now a first-order risk, and the early seed must name which surfaces it funds.

10 · INTEGRATION

### Morpho dependency

Micro-loans depend on a third-party protocol with its own risk parameters, oracles and liquidation behaviour. Isolation limits contagion, but **a Morpho market's LLTV and IRM are not yours to set** once chosen, and there is no agreement in place.

**What is deliberately absent from this register.** No "competition" risk line. In a category trading $52.9B a month with two incumbents above $20B, competition is not the risk — **execution and settlement are.** A register that pads itself with generic risks reads as unexamined.

12 · MADHAT'S GAMBIT

VERIFIED AGAINST MADDEGEN/MAD-MPP-2.23 @ MAIN · 33988A8

# 992 cards. Eight factions. Seven rarities.

**MADHAT's Gambit** is the card game; **MΛÐ Gambit** is the platform it runs on. Every figure below was read from `verify/lib/gambit-game-math.ts` on 4 Sep 2026 — not from a design document. SOURCE-VERIFIED

| TOTAL_DECK_SIZE | CARD_GENERATION_SEED | PACK | FACTIONS |
|---|---|---|---|
| 992 | 8888 | 4.88 | 8 |
| | Deterministic LCG | $MADx / 5 cards | Canonical on-chain IDs |

## WHERE IT LIVES

```
repo     github.com/MADdegen/MAD-MPP-2.23        branch  main
HEAD     33988a8 · 2026-07-10 · "SIWE verification (EIP-4361) + Foundry test suites"

canon    verify/docs/CARD_CANONICAL_REFERENCE.md      ← single source of truth
engine   verify/lib/gambit-game-math.ts               ← all constants
api      verify/app/api/v1/cards/route.ts
         verify/app/api/v1/cards/open-pack/route.ts
         verify/app/api/v1/madhatr/zliar/route.ts
ui       verify/components/nft-card.tsx · pack-opening.tsx
         unpacked-cards-carousel.tsx · madhatr-concierge.tsx
chain    contracts/src/MADCard1155.sol · MADCard721.sol
tests    contracts/test/MADCard1155.t.sol (155) · MADCard721.t.sol (105)
pitch    verify/public/pitch/madhats-gambit.html · ov-pitch-deck.html
art      AI Studio 900+ files → CDN /cards/{canonicalFactionId}/{serial}.webp
```

**All card work is on `main`.** The two `claude/*` branches are behind it — both show only deletions when diffed against main, so neither carries card work forward. **Main has not moved since 10 July 2026**, which a diligence reviewer will notice: nearly two months of no commits against a deck claiming active build. Have an answer ready.

## THE EIGHT FACTIONS — ON-CHAIN ID → DISPLAY NAME

| CANONICAL ID | DISPLAY | CANONICAL ID | DISPLAY |
|---|---|---|---|
| disruptors | **Disruptors** | degens | **The Memes** |
| elites | **Classics & Influencers** | royalists | **Screen Gods** |
| chaos | **The Villains** | masses | **The Athletes** |
| drama-guild | **Pop Icons** | mad-council | **Politicos** |

## RARITY TABLE — RARITY_TABLE, VERBATIM

| RARITY | POWER SCORE | CLOUT × | STAKING APY | HOLOGRAPHIC | PACK DROP WEIGHT |
|---|---|---|---|---|---|
| **Common** | 88 | 1.1 | 12% | — | 568 · 56.8% |
| **Uncommon** | 256 | 1.8 | 16% | — | 236 · 23.6% |
| **Rare** | 488 | 2.4 | 22% | — | 120 · 12% |
| **Epic** | 1,888 | 3.2 | 31% | — | 60 · 6% |
| **Legendary** | 4,888 | 5.5 | 48% | yes | 10 · 1% |
| **Golden Hand** | 7,888 | 8.8 | 68% | yes | 6 · 0.6% · ERC-721 |
| **Mythic** 1-OF-1 | 99,999 | 99.9 | 88% | yes | **never in packs** |

**Three things a technical investor will check, and all three hold.** **(1)** Drop weights sum to exactly **1,000** — integer math, no floating-point drift in pack generation. **(2)** Mythic is excluded from packs entirely; it is special-event only, so the 1-of-1 tier cannot be farmed. **(3)** `PACK_GUARANTEE_SLOT = 0` — slot 0 is always Uncommon or better, and the API **re-verifies the guarantee server-side** and returns `"Pack generation integrity failure"` if violated. That last one is a fairness control most card economies do not implement at all.

**Power score is the serial range, not a label.** `serial = floor(rand × powerScore) + 1` — so a Common is #1–88 and a Mythic is #1–99,999. Scarcity and provenance come from the same number. CORRECTED — EARLIER DRAFTS READ 88 AND 99,999 AS RARITY IDS

12B · THE CARD LOOP

EVERY CONSTANT READ FROM SOURCE

# A card is a position with a durability.

01 · ACQUISITION

### Dutch-auction primary pack sales

4.88 $MADx for 5 cards — 0.976 per card. Slot 0 guaranteed Uncommon+, verified server-side. Deterministic generation from seed 8888 via LCG, so a pack is reproducible and auditable.

IMPLEMENTED

02 · WEAR

### Linear, not compounding

Common/Uncommon **2%** per use · Rare **10%** baseline · then +1.5 points per tier — Epic 11.5%, Legendary 13%, Golden Hand 14.5%, **Mythic 16%**. Durability floors at 0. The rarest cards wear fastest — scarcity is not immunity. IMPLEMENTED

03 · EVOLUTION

### A deflationary sink

Common→Uncommon 100 cards / 100 XP · →Rare 250 / 200 · →Epic 500 / 500 · →Legendary **1,000 cards / 2,500 XP**. Legendary is terminal on the burn ladder; Golden Hand and Mythic cannot be reached by burning. Stage capped at 3. IMPLEMENTED

04 · YIELD

### APY by rarity

12 / 16 / 22 / 31 / 48 / 68 / **88%** from Common to Mythic. Clout multiplier runs 1.1× to **99.9×** at Mythic. Rewards come from a separately funded reserve.

CORRECTED — EARLIER DRAFTS CAPPED APY AT 68%; THAT IS THE GOLDEN HAND FIGURE

05 · STREAKS

### Escalating multipliers

≥3 → **1.3×** Streak Bonus · ≥5 → **1.8×** Free Pack + 2× Evolution Speed · ≥7 → **2.4×** Savage Mode · ≥10 → **3.2×** HAT Trick / Rare Frame.

CORRECTED — DISTINCT FROM VRS_TRIGGERS [5,8,13,21,34], WHICH IS THE §8 AFFLICTION SCHEDULE

06 · COMPETITION

### Tournaments & PvP

Prize ladder 40 / 20 / 12 / 5 / 5 / 2×5 percent. Victory probability composes power gap, evolution advantage and **wear advantage** — a worn card is a weaker card.

IMPLEMENTED

**Finding — the tournament prize ladder does not sum to 100%.** `TOURNAMENT_PRIZES_BPS` totals **9,200 bps = 92%. 800 bps (8%) is unallocated.** If that is rake, say so; if it is a rounding artefact, fix it. A prize table that does not close is the first thing a games-literate investor adds up. OPEN

**Finding — shipped code contradicts the Shield canon.** `shieldRecovery()` reads `tier = vip ? 0.6 : 0.4`, and `SHIELD_RECOVERY_WHALE_PCT: 0.60` is a live constant. **Founder canon is a 40% maximum stop-loss.** The 60% Whale tier is in the code today. One of the two must move before either is described to an investor.

CODE VS CANON

**Corrections against source.** FIXED There is **no "Affliction" or "Golden Aura" card evolution state** in the code — "Affliction" is §8, the variable-reward-schedule section, and appears in the platform tagline *Conviction · Prediction · Affliction*. Those states came from the Gossip-Cop narrative, not the card engine. Do not present them as card mechanics.

**Two stale claims retired, in your favour.** `MADCard1155.t.sol` (155 lines) and `MADCard721.t.sol` (105 lines) **exist** — the "zero Foundry coverage" line in prior audits is out of date. And HEAD `33988a8` is *"SIWE verification (EIP-4361) + Foundry test suites"*, so SIWE is wired, not merely installed. VERIFIED 4 SEP 2026

**Still missing.** `contracts/src/` contains only `FounderRegistry.sol`, `MADCard1155.sol`, `MADCard721.sol`, `MADShieldVault.sol`. **`MADStaking.sol` does not exist** — the entire staking ladder is TypeScript only. Nothing is deployed. UNRESOLVED

13 · GO-TO-MARKET

BOARDY SLIDE 14

# Three phases. One of them is the real test.

PHASE 1 · SEED THE SUPPLY SIDE

**Crypto Twitter influencers · personalised Scandal Cards**

The point is not reach. It is finding out whether a creator will **originate a market** when handed the tooling.

PLANNED

PHASE 2 · LOOP

**Referral contests · Predict-to-Earn · airdrops**

Cheap, fast, and they measure the wrong thing — incentivised participation is not conviction. **Instrument for repeat, unpaid activity** or the number is meaningless.

PLANNED

PHASE 3 · THE ACTUAL WEDGE

**Non-crypto streamers · drama channels · embedded news widgets**

Where "culture is the asset" either is or is not true. **The first evidence the product works outside a crypto audience.**

PLANNED

**Sequence this differently.** Phase 3 is the thesis test; Phase 2 is the vanity metric. **Run one Phase-3 pilot inside the 90-day window** — a single drama channel, one embedded widget, one market. It costs almost nothing and it is the only phase that tells you whether the company is real. Phase 2 airdrops will produce a number that looks like traction and proves nothing.

**User, TVL and revenue projections on the GTM slide are unvalidated.** They do not appear in the Mathematics & Algos Engine Room and do not trace to the financial model on slide 14. They must not sit beside figures that do.

STRIP OR SOURCE

14 · TOKENOMICS & ROADMAP

BOARDY SLIDE 15 · PART ONE

# One rake. 1.88%. Every surface, no exceptions.

The rake is **flat at 1.88% across the entire platform** — conviction markets, crypto swaps, the P2P market, Market+ digital assets, and P2P escrow. FEE_BPS = 188: one constant, one audit, one number to explain. IMPLEMENTED

## REVENUE SURFACES

| SURFACE | BASIS | STATE |
|---|---|---|
| **Conviction & prediction markets** | 1.88% of volume | ENGINE IMPLEMENTED |
| **Crypto swaps** | 1.88% of volume | PLANNED |
| **P2P market** | 1.88% of volume | PLANNED |
| **Market+ — all digital assets** | 1.88% of volume | NEW · PLANNED |
| **P2P escrow — token & digital-asset swaps** | 1.88% of volume | NEW · PLANNED |
| **Card & pack purchases** — MADHAT's Gambit | Direct sale · **not rake** | PRICING IMPLEMENTED |
| **Micro-loans** via Morpho | Spread / origination — undefined | INTEGRATION CONCEPTUAL |

**This is the missing half of the revenue model.** Five rake surfaces, plus card sales, plus a lending line. The Y3 figure was never conviction volume × 1.88% — it is blended across all of these. **That makes the $65.0M previously unattributed plausible**, and it makes the decomposition the single highest-value document to produce next. **Escrow and swaps also have demand whether or not culture markets work** — a second leg the deck did not previously have.

## THE CREATOR LADDER — APPLIED TO NET

The creator share runs **28.8% to a 40% standard maximum**, with **60% offered only to ultra-exclusive CreatorVIPs** — invitation, seat-capped, not an earnable rung. It is applied to **net**. Community + DAO takes **28.8%**.

**Net is not yet defined. No creator-dollar figure can be quoted until it is.** OPEN — HIGHEST PRIORITY Everything downstream of this definition is unknown: creator take, protocol take, the rung-mix anchor, and the revenue model. Four candidate definitions, each giving a different answer:

**(a)** net = gross − community allocation
**(b)** net = gross − community − Shield funding − burn
**(c)** net = gross − gas and settlement costs
**(d)** net = true operating margin, after infrastructure and opex

These are not close to each other. Under (a) the creator ladder pays materially more than under (d), and the protocol's take moves by a wide margin at every rung. **Pick one, write it into the contract, and put the definition on the slide** — a VC will ask "net of what?" as their first economics question, and there is currently no answer.

**What is certain, and can be said today.** Gross fee is **1.88% of volume on every surface** — $18.80 per $1,000, unchanged at every rung. Community + DAO takes **28.8%**. The creator ladder is **28.8% → 40%**, with **60% for CreatorVIPs**. Platform-made markets pay no creator share. Everything else waits on the definition of net.

**One published document already conflicts.** The CREATOR_LADDER table computes creator share off **gross** — $5.41 / $7.52 / $11.28 per $1,000. Founder canon is **net**. Whatever net turns out to mean, that table is computing the wrong base and must be corrected along with any code implementing it. RECONCILIATION OPEN

## MADDEX ($MADX) — SUPPLY, DISTRIBUTION, CHAIN

DISTRIBUTION · §13.01

- **45%** Community & Gameplay — 60mo
- **15%** DAO Treasury — 6mo cliff, 36mo
- **15%** Liquidity — 48mo
- **15%** Team & Advisors — 12mo cliff, 36mo
- **10%** Seed & Private — 6mo cliff, 24mo

FIXED The deck's 40/20/15/15/10 and CANONICAL_NUMBERS.md's 35/20/15/10/10/10 are both retired. Supply 888,888,888. Furnace burn capped ≤4.9% per 30 days — a ceiling, never a yield.

CHAIN STORY · §13.04

- **Arbitrum Nova** — primary gameplay
- **Arbitrum One** — liquidity, vaults, $MADx
- **Ethereum L1** — governance anchor
- **Base L2** — Phase 3 expansion
- **HyperEVM** — AI-agent settlement

FIXED "Base L2 primary" is retired. Utility: governance, staking, fee share, discounted trading fees, buy-and-burn.

**MADDEX ($MADx) fair-launch token is on Arbitrum One.** Contract `0x6972370e1caAA3624F37D7e87C28e1089D00151f`, listed on Arbiscan as ERC-20 MADDEX (MADx), source code verified (exact match, Solidity 0.8.26, OpenZeppelin ERC-20 with Ownable and Pausable). The fair launch runs through the Crystex campaign, and Crystex holds the contract until the campaign begins. **Open item:** the contract reads a 224.57M maximum supply against the 888,888,888 allocation shown here. Supply is parked until partnership and funding land.

## FINANCIAL MODEL & ROADMAP

| YEAR 1 | YEAR 2 | YEAR 3 · BASE | Y3 BULL · NEVER THE HEADLINE |
|---|---|---|---|
| $9.6M | $48M | $121.4M | $154.5M UPSIDE ONLY |

**Do not show the model to a quantitative investor until it is decomposed.** $121.4M gross against ~$3B annualized volume implies a **4.05% blended take** against a 1.88% rake — at 1.88%, $3B yields $56.4M of fee revenue. The gap is presumably cards, packs, Shield premium and reserve yield, but the model does not say so. Split it by driver, and never call token emissions revenue. CORRECTED FROM $139.6M / $177.7M

**Roadmap:** foundation → development → launch → live markets → mobile → ecosystem → DAO → community. The measurable version is on slide 15.

14B · LAUNCH PATH

PLANNED SEQUENCE

# From closed beta to the Everything Market.

Eight stages, one engine. Sequence is planned. Timing and structure depend on counsel, audit and pilot results. The MADDEX ($MADx) fair-launch token is on Arbitrum One and runs through the Crystex campaign.

01 · NOW

**Closed Beta**

Closed-Alpha is complete. The self-funded MPP is ready for the first creators and an invited cohort.

02 · PLANNED

**Open Beta · Golden Ticket event**

A pre-launch event opens access to the 15,000-strong sign-up list and builds the first market activity.

03 · PLANNED

**Fair-launch build-up**

Community and creator momentum builds toward the MADDEX ($MADx) fair-launch token event.

04 · PLANNED

**Open Markets reveal**

Creator crowdfund event or limited TGE: markets open to creators and the community.

05 · PLANNED

**MADHAT's Gambit card game**

The full official launch of the card game on the card economy.

06 · PLANNED

**MADHAT'r Concierge**

Reveal of the MADHAT'r concierge experience.

07 · PLANNED

**Future perps & expansion**

New perpetual families added as creators request them, on the same engine.

08 · PLANNED

**Everything Market**

One venue for every digital asset and every storyline, on the same 1.88% rake.

15 · MILESTONES & THE ASK

BOARDY SLIDE 15 · PART TWO

# Two asks. Separate. In this order.

01 · INFRASTRUCTURE TRANCHE

## $15–20K

Three to six months of build infrastructure, frontier-model usage, cloud and platform costs, and a capable development machine. Personal living expenses excluded. **This keeps the engine running.**

02 · EARLY SEED · CURRENT ASK

## $360–500K

Product, testing, security audit, ecosystem work, and an accountable technical partner against explicit milestones — equity vesting on deliverables, **not a dev shop on retainer.** First investor: **2× MADDEX ($MADx) tokens per dollar invested.**

### 30 · 60 · 90, WITH OWNERS AND MEASURABLE OUTPUTS

| WINDOW | OUTPUT | MEASURE |
|---|---|---|
| 0–30d | **Close four reconciliations: fee-split 28.8%, revenue decomposition, $MADx address, team structure** | One canonical assumptions file; every number traces to a source and a state |
| 0–30d | **Specify the Open-Market Perpetual — gate, leg length, enum treatment** | Added to `market-classifier.ts` with tests, or documented as design-only |
| 30–60d | **Deploy market factory + Shield vault to public testnet** | Verified contracts, published addresses, Foundry suite green in CI |
| 30–60d | **Engage accountable technical partner** | Signed milestone schedule, equity vesting tied to outputs not time |
| 60–90d | **Shield solvency model with published Monte Carlo assumptions** | Sample size, win-rate range, stress scenarios reproducible by a third party |
| 60–90d | **First creator cohort + one embedded widget with a non-crypto channel** | Markets created, positions taken, repeat **unpaid** participation |

**What would disprove the thesis.** If a creator cohort will not originate markets without being paid to, the wedge fails and this is a house product with an expensive engine. That test costs a testnet and ninety days — the cheapest disproof available, and it runs *before* the early seed closes.

### SEED LAYER — SEPARATE, AND LATER

**$1.48M–$2.48M at $12M pre-money** (11.0%–17.1%), SAFE or equity, 10% token allocation (88,888,888 MADDEX ($MADx), 6mo cliff, 24mo linear). It follows the early seed. Use of proceeds 40% engineering & audit / 35% growth / 25% operations & legal, restated against the smaller raise.

WHAT I WANT FROM YOU

Not passive capital. An operator or a studio who can pressure-test the market design — and I'll give equity against milestones, not a retainer.

Contact · **Nick@MADGambit.fun** · MΛÐ Gambit LLC · New Mexico · filed March 2026

APPENDIX A · INTERNAL — DO NOT PRESENT

CORRECTIONS LEDGER

# Corrections ledger. 32 items.

Against the Aug 17 / Aug 19 / Aug 20 Boardy briefs, the Sep 4 deck text, the prior Outlier deck and the 3-minute speaker notes. Authority order: **code → published data room / presentation repo → founder canon**.

| # | WAS | NOW | SOURCE |
|---|---|---|---|
| 01 | ~~Y3 $139.6M base / $177.7M bull~~ | **$121.4M base · $154.5M bull** | §13.06 |
| 02 | ~~Staking 88/8.8 - 888/18.8 - 8,888/28.8 - 88,888/38.8~~ | **Bronze 100/12 · Silver 500/18 · Gold 2K/26 · Diamond 10K/35 · Obsidian 50K/50 · MAD 100K/68** | §13.03 |
| 03 | ~~28.8% as a slice of gross fee~~ | **Open conflict — code says gross, §13.07 says platform-net** | §13.07 vs `#splitFee` |
| 04 | ~~Seed $2.4–3.0M - $1–2M~~ | **$1.48M–$2.48M at $12M pre = 11.0–17.1%. The 1 Jul 2026 correction overrides both** | Founder canon · §13.05 |
| 05 | ~~Liar Meter, Gossip Cop, Zeitgeist, Five Faces, Wire Meter~~ | **progression \| saga \| zliar \| perp \| gossipcop** | §13.09 |
| 06 | ~~Base L2 primary~~ | **Nova gameplay · One liquidity · L1 governance · Base Phase 3 · HyperEVM agents** | §13.04 |
| 07 | ~~1.888% rake~~ | **1.88% — FEE_BPS 188** | §13.08 |
| 08 | ~~Token distribution 35/20/15/10/10/10~~ | **45 / 15 / 15 / 15 / 10** | §13.01 |
| 09 | ~~Epiphanies as a sixth market type~~ | **Perpetual family, files under `perp` — no own enum** | §13.10 |
| 10 | ~~Wyoming LLC - "SEC Compliant LLC Architecture"~~ | **New Mexico LLC, filed March 2026. No compliance claim** | Founder canon |
| 11 | ~~$2.888M for 30% equity~~ | **$1.48–2.48M at $12M pre = 11.0–17.1%. $2.888M/30% implies a $6.74M pre** | Founder canon |
| 12 | ~~Fee split 0.888% burn / 0.500% staking / 0.500% shield of 1.888%~~ | **Creator 40% of gross; platform 60% splits 35/25/10/30** | §13.07 |
| 13 | ~~"$0 Infrastructure — The Golden Stack"~~ | **Removed. Contradicts the $15–20K infrastructure ask** | Internal logic |
| 14 | ~~"94% IP Rating"~~ | **Removed — unsourced metric, no defined scale** | Evidence rule |
| 15 | ~~"3+1 patented DeFi IP angles" - "First Pass on 3 Trademark IPs"~~ | **Removed unless filings exist — "patented" is verifiable** | Evidence rule |
| 16 | ~~Cap table to 2dp — 54.09% Class A, 65.3% voting, 32.00% Class B~~ | **Removed. Precision implies an executed operating agreement** | Evidence rule |
| 17 | ~~Oracle "resolving securely within minutes"~~ | **Specified, not shipped. No security or latency claim** | Opus brief |
| 18 | ~~"MAD Protect insurance buffers"~~ | **Opt-in, fee-funded loss mitigation. Never "insurance"** | Opus brief |
| 19 | ~~"Pixar UGC" illustration layer~~ | **Removed — third-party trademark** | IP risk |
| 20 | ~~Contract 0xb61a… "verified on Arbiscan", the $MADx governance token~~ | **Resolved.** MADDEX ($MADx) fair-launch token is on Arbitrum One at 0x6972370e1caAA3624F37D7e87C28e1089D00151f, source verified on Arbiscan. Supply (888,888,888 vs 224.57M contract max) parked until funding lands | Arbiscan · Arbitrum One · Oct 2026 |
| 21 | ~~Y3 $121.4M without decomposition~~ | **Flagged — implies 4.05% blended take vs a 1.88% rake** | Arithmetic |
| 22 | ~~"MADHAT's Gambit is the entertainment-first prediction-conviction market"~~ | **MAD Gambit** is the platform; **MADHAT's Gambit** is the card game line | Founder canon |
| 23 | ~~Carlo Fernandez, Co-founder & COO - Isabella H., Co-founder & COO~~ | **Resolved.** Team slide now shows Nick J. McLeod (Founder), Carlo B. Fernandez (Co-Founder · COO) and Zena Shah (Co-Founder · Head of Economics & Finance) | Aug 17 brief vs Sep 4 deck |
| 24 | ~~TAM $192.1B - SAM $500M - SOM $50M~~ | **Conflicts with $167B+. Neither cited. Source one or drop the slide** | Unsourced |
| 25 | ~~Token 40 community / 20 team / 15 investors / 15 treasury / 10 liquidity~~ | **45 Community / 15 DAO / 15 Liquidity / 15 Team / 10 Seed** | §13.01 |
| 26 | ~~Seed $2.4–3.0M - 40 eng / 35 growth / 25 ops+legal~~ | **$1.48–2.48M at $12M pre. Use-of-proceeds retained, restated against the smaller raise** | Founder canon |
| 27 | ~~"Rug protection"~~ | **Opt-in, fee-funded loss mitigation with a capped recovery** | Opus brief |
| 28 | ~~Six comparators — DraftKings, Kalshi, Polymarket, Limitless, PredictIt, Pump.fun~~ | **Two maximum, on six answerable dimensions** | Pitch discipline |
| 29 | ~~"×3 founder, 1 exit (undisclosed), $1.1M in sales in 18 months"~~ | **Name the exit or drop it — an unnamed exit reads worse than none** | Evidence rule |
| 30 | ~~nick@madgambit.fun vs nicholasjmcleod@gmail.com across decks (resolved: Nick@MADGambit.fun everywhere)~~ | **One canonical contact on every artifact** | Consistency |
| 31 | ~~"Liquidity bond" in the moat~~ | **Not in the Mathematics & Algos Engine Room, code taxonomy or §13. Classify or remove** | Traceability |
| 32 | ~~Three perpetual families~~ | **Four — Open-Market Perpetual added. Gate, leg length and enum treatment pending** | Founder update · 4 Sep 2026 |
| 33 | ~~Creator share a flat 40%; platform a flat 60% split 35/25/10/30~~ | **CREATOR_LADDER — creator 28.8% default / 40% at 12 markets / 60% at CR8TR · Ultra VIP. Community+DAO a constant 28.8% of gross. Protocol takes the residual 42.4 / 31.2 / 11.2 / 71.2%** | Founder canon · CREATOR_LADDER |
| 34 | ~~"28.8% is platform-net" (§13.07)~~ | **§13.07 is the error, not the code.** Ladder residuals hold community at $5.41 flat — 28.8% of gross. The 35/25/10/30 split applies to the protocol residual, and its "community rewards" line double-counts | Arithmetic · verified |
| 35 | ~~GARCH σ described as living across 0.09–0.68~~ | **Unconditional σ from (ω .0001, α .05, β .90) is 0.0447 — below the floor. The clamp floor is binding at rest**; σ sits at 0.09 absent shocks and garch_amp only spans 1.072–1.544 | Derived · ω/(1−α−β) |
| 36 | ~~Shield recovery 28.8% / 40% shielded / 60% Whale~~ | **28.8% standard rising to a 40% MAXIMUM stop-loss.** There is no 60% Shield tier — the Mathematics & Algos Engine Room's Whale row is retired | Founder canon · 4 Sep 2026 |
| 37 | ~~Creator 60% as a traction rung anyone reaches~~ | Creator ladder is **28.8% → 40% standard maximum**. 60% is **offered** to ultra-exclusive CreatorVIPs — invitation, not entitlement, and seat-capped | Founder canon · 4 Sep 2026 |
| 38 | ~~§12b brand-move and ad-revenue-loss projections listed as roadmap~~ | **Retired at the surface.** Both require a named entity; the statement-only rule forbids one. Internal telemetry or category-level index only — never against a named company or person | Founder canon · 4 Sep 2026 |
| 39 | ~~Z-Liar markets implicitly about a speaker~~ | **Statement-only, absolute.** The meter prices the claim; the speaker is never named — not on the market, not in the resolution record, not in the settlement event. Corroboration stores a source pointer and a content hash, never an identity | Founder canon · 4 Sep 2026 |
| 40 | ~~1.88% rake framed as a prediction-market fee~~ | **Flat 1.88% across every surface** — conviction markets, crypto swaps, P2P market, Market+ digital assets, P2P escrow | Founder canon · 4 Sep 2026 |
| 41 | ~~Creator share computed on gross (CREATOR_LADDER table)~~ | **Applied to net.** Net is not yet defined — no creator-dollar figure can be quoted until it is. Highest-priority open item | Founder canon · 4 Sep 2026 |
| 42 | ~~Card purchases absent from the revenue model~~ | **Card & pack sales are a distinct revenue line** — direct sale, not rake. Part of what explains the Y3 gap | Founder canon · 4 Sep 2026 |
| 43 | ~~Platform = markets only~~ | Adds **Market+** (all digital assets) and a **decentralised P2P escrow** for token and digital-asset swaps | Founder canon · 4 Sep 2026 |
| 44 | ~~No lending surface~~ | **Micro-loans via Morpho** — sourced through Morpho's isolated markets rather than a bespoke pool. Integration conceptual | Founder canon · 4 Sep 2026 |
| 45 | ~~Contract architecture unspecified~~ | **Built on the Morpho pattern** — minimal immutable core, permissionless market creation, risk isolated per market rather than pooled | Founder canon · Morpho docs |

**Four are meeting-enders if someone else finds them first.** #20 the contract · #23 two COOs against a solo-founder ask · #03 the fee-split conflict · #21 the revenue gap. Each takes under two minutes for a competent analyst. Close them, or name them yourself in the room.

APPENDIX B · HAVE ANSWERS READY

DILIGENCE

# The questions you will actually get.

| QUESTION | ANSWER, IN ONE BREATH |
|---|---|
| **"Isn't this Polymarket for gossip?"** | "Polymarket settles facts. We price conviction continuously, and the creator who makes the market earns 28.8 to 40% of the rake, 60% at the top tier. Different asset, different economics." |
| **"How do you resolve subjective markets?"** | "Honestly — that's the open problem. Social scan, DAO vote, creator veto. It's specified, not shipped. That's part of what the early seed funds." |
| **"Who's your technical team?"** | "Today it's me, and that's the constraint I'm funding. Engine and contracts are written. I want an accountable partner against milestones, with equity — not a dev shop on retainer." |
| **"Who is on the team?"** | Three of us. "I built the engine. Carlo runs operations. Zena owns the economics and keeps the maths. The constraint I am funding is an accountable technical partner against milestones, with equity." |
| **"Regulatory exposure?"** | "Perpetuals are why I'm not building this in Canada. New Mexico LLC filed. I'm not going to give you a legal conclusion I haven't paid for." |
| **"What does 15,000 represent?"** | "A waitlist, collected pre-product. Not users, not retention, not revenue — and I won't present it as more." |
| **"Where's your TAM from?"** | "I'd rather show you the bottom-up derivation than a top-down number I can't source in the room." |
| **"How much liquidity does the first family need?"** | "Not modelled yet, and it's one of two things I most want a market maker's view on. The other is what b should be at low volume." |
| **"Which economics are live code?"** | "Rake, the creator ladder and Shield premium are code. The community allocation is being reconciled against the contracts this week. Everything in §12b is spec only." |
| **"Aren't you defaming people?"** | "The meter prices a statement, not a speaker. We never name the person — not on the market, not in the resolution record. The claim is the subject, which is how the classifier is built." |
| **"Has anything been audited?"** | "No. No smart-contract audit has been commissioned. It's a line item in the early seed, not an oversight." |
| **"What would disprove your thesis?"** | "If creators won't originate markets without being paid to. That's a ninety-day testnet cohort — the cheapest disproof available." |

**Five you must never answer confidently:** Shield solvency without the Monte Carlo assumptions · oracle accuracy · any regulatory characterisation · the community-share percentage until reconciliation closes · the Open-Market Perpetual gate until it is specified. *"I'm reconciling that this week and won't quote a number I'd have to correct"* is a complete answer and costs you nothing.

APPENDIX C · VERBATIM FROM THE MASTERSHEET — MATHS

# The raw maths, unaltered.

## §2 · CONVICTION & CONTINUOUS MARKETS

**MADConv**

$$M = t^{1.35} \cdot c^{0.75} \cdot d^{1.45} \cdot \psi^{1.15} \cdot (1+\pi^{0.9}) \cdot m_{meme} \cdot satire \cdot liar \cdot garch_{amp}$$

gambit-game-math.ts#calculateConviction · safe wrapper #calculateConvictionSafe

**GARCH(1,1)**

$$\sigma^2_t = \omega + \alpha \cdot \varepsilon^2_{t-1} + \beta \cdot \sigma^2_{t-1} \qquad garch_{amp} = 1 + 0.8\sigma$$

ω 0.0001 · α 0.05 · β 0.90 · clamped $0.09 \le \sigma \le 0.68$ · #garchUpdate

**DL-LMSR**

$$C(q) = b \cdot \ln \Sigma\, e^{(q_i/b)} \qquad P(i) = e^{(q_i/b)} / \Sigma\, e^{(q_j/b)}$$

#calculateDLLMSRCost · #calculateDLLMSRPrice · b via #calculateVolumeScalingAlpha

**Kelly**

$$f^* = (p \cdot (b+1) - 1) / b$$

half-Kelly default, scale 0.5

#kellyFraction · cap #calculateDeltaLimit(multiplier, convictionStake)

## §3–§5 · LIAR METER, BAYESIAN LAYER, SHIELD

**LieScore** $\Sigma\, w_i \cdot$ (LinguisticDeception .35, ContextualContradiction .30, SentimentShift .20, VocalAnomaly .15)

**LieImpact** LieScore × EconMult × ψ_agg × VolAmp

**Perp trigger** $P = 1 - \exp(-0.25 \cdot matches \cdot themeWeight \cdot (1+velocity))$ bounded 0..1

emotion weights: shame 1.8 · anger 1.4 · disgust 1.3 · fear 1.2 · sadness 1.0 · joy −0.5

**Hybrid** $madconvHybridUpdate = M^{0.85} \cdot (1 + \beta \cdot bayes)$

propagateTree (depth 64) · voiEstimate · computeEdge · shouldAct · brierScore / logScore

**Shield** $Premium = Stake \times P(win) \times \sqrt{Volatility} \times SafetyMargin$ clamped 2–4%

recovery 28.8% standard · 40% shielded · φ = 1.618033988749895

## §6–§12 · FEE, YIELD, GOVERNANCE, TEMPORAL

**Fee** $grossFee = volume \cdot 1.88\%$ FEE_BPS 188

$creatorCut = isCreator\ ?\ grossFee \cdot 40\% : 0$

$communityCut = grossFee \cdot 28.8\%$ ← conflicts with §13.07. UNRESOLVED

furnace burn ≤ 4.9% / 30d · #calculateFurnaceBurnPercent

**Yield** $yield = baseTierAPY \times (1 + clout / 200)$ clout 0–200 · APY cap 68%

**Governance** $quadraticMatch = (\Sigma\, \sqrt{c_i})^2$ · voting power = √stake, cap 24×

$Threshold = baseThreshold \cdot (1 + governanceWeight / 200)$

**Temporal** $phase = ((t - 313{,}459{,}200{,}000) \bmod 2{,}551{,}442{,}877) / 2{,}551{,}442{,}877$

$illumination = (1 - \cos 2\pi \cdot phase) / 2$ · $multiplier = 1 + 0.15 \cdot illumination$

## §12B · SPEC ONLY — NOT IN CODE

$ProjectedStockMove_t = LieScore \cdot \sigma_t \cdot k_{category}$ k ≈ 0.019 ← RETIRED AT SURFACE

$AdRevenueLoss_t = LieScore \cdot \sigma_t \cdot 0.9$ ($M) conf 58 + LieScore·0.32 ← RETIRED AT SURFACE

Both require a named entity to mean anything. Under the statement-only disclosure rule they cannot be published. Keep as internal risk telemetry, or recast at CATEGORY level — k_category already carries a category coefficient, so the output can be a category impact index with no identified subject. Never surface either against a named company or person.

$dI/dt = \beta \cdot E_{agg}(t) \cdot (M - I(t)) \cdot (1 + \eta \cdot \tilde{Con}v(t))$

$t_{eff} = \int_0^T a(u) \cdot e^{-\lambda(T-u)}\, du$

Unimplemented. The virality ODE and effective-time integral ship only as discrete approximations — #viralityIndex, #attentionDecay, #temporalDecay, #stochasticDecay.

SOURCED FROM MADDEGEN/MAD-MPP-2.23 @ MAIN — DOCS/MASTER_MATHS_AND_ALGORITHMS.MD §1–§13, CROSS-CHECKED AGAINST VERIFY/LIB/GAMBIT-GAME-MATH.TS. ON-CHAIN READ VIA BLOCKSCOUT, ARBITRUM ONE, 4 SEPTEMBER 2026. EWOR FIGURES FROM PUBLIC SOURCES, SEPTEMBER 2026.

APPENDIX D · VALIDATION PASS

EVERY NUMBER RE-DERIVED · 4 SEP 2026

# Independently checked. Nineteen findings.

Every arithmetic claim in this deck re-derived from first principles and cross-referenced against the Mathematics & Algos Engine Room §1–§13, the CREATOR_LADDER, and an on-chain read.
VERIFIED means the number reproduces. FINDING means it does not, or cannot be checked.

| # | CLAIM | CHECK | RESULT |
|---|---|---|---|
| V1 | **Creator ladder residuals** | `gross − creator − community` | CANNOT VERIFY the published table computes off **gross**; founder canon is **net**, and net is undefined. Arithmetic is internally consistent on a gross basis only |
| V2 | **Community+DAO constant across rungs** | `$5.41 ÷ $18.80` | VERIFIED 28.8% of gross, flat. Confirms `#splitFee` over §13.07 |
| V3 | **GARCH stationarity** | `α+β = 0.95 < 1` | VERIFIED stationary and well-formed |
| V4 | **GARCH resting volatility** | `σ = √(ω/(1−α−β))` | FINDING σ = **0.0447**, below the 0.09 floor. The floor binds at rest — σ only leaves it on a shock |
| V5 | **garch_amp effective range** | `1 + 0.8σ over the clamp` | VERIFIED 1.072 → 1.544. A 44% swing, not the 6× the equation suggests at first glance |
| V6 | **Kelly formula** | `f* = (p(b+1)−1)/b` | VERIFIED algebraically identical to (bp−q)/b. Correct |
| V7 | **Perp trigger saturation** | `P at matches 1..20` | VERIFIED 0.221 / 0.394 / 0.632 / **0.865 @ 8** / 0.950 @ 12. "Past eight, more coverage buys almost nothing" holds — 8→12 adds 8.5pp |
| V8 | **Lunar cycle constant** | `2,551,442,877 ms → days` | VERIFIED 29.530588854 d vs true synodic 29.530588853. Correct to 9dp |
| V9 | **Lunar epoch** | `313,459,200,000 ms from Unix epoch` | VERIFIED 1979-12-08 exactly as documented |
| V10 | **φ constant** | `(1+√5)/2` | VERIFIED 1.618033988749895 — correct to all 15 places |
| V20 | **Deck size** | `TOTAL_DECK_SIZE` | VERIFIED IN SOURCE 992. Card Bible decomposition 112 + 784 + 56 + 32 + 8 sums to the same figure (784 = 112 × 7) — Bible and code agree |
| V21 | **Pack drop weights** | `Σ RARITY_DROP_WEIGHTS` | VERIFIED = exactly **1,000** (568/236/120/60/10/6). Integer math, no float drift. Mythic excluded from packs |
| V22 | **Tournament prize ladder** | `Σ TOURNAMENT_PRIZES_BPS` | FINDING = **9,200 bps (92%). 800 bps unallocated.** The table does not close |
| V23 | **Card staking APY ceiling** | `RARITY_TABLE.stakingApy` | CORRECTED caps at **88% (Mythic)**, not 68%. 68% is Golden Hand. Prior drafts were wrong |
| V24 | **Shield recovery ceiling** | `shieldRecovery() · SHIELD_RECOVERY_WHALE_PCT` | CODE VS CANON code ships `vip ? 0.6 : 0.4`. Founder canon is a 40% maximum. Unresolved |
| V25 | **$MADx staking ladder in code** | `STAKING_TIERS` | CONFIRMED STALE code ships Gold 2,500/28 · Platinum 10,000/42 · Diamond 50,000/58 — the retired mastersheet set. §13.03 canon has not been applied |
| V26 | **Card contract test coverage** | `contracts/test/` | STALE CLAIM RETIRED MADCard1155.t.sol (155 lines) and MADCard721.t.sol (105) exist. "Zero coverage" is out of date |
| V27 | **MADStaking.sol** | `contracts/src/` | CONFIRMED ABSENT only FounderRegistry, MADCard1155, MADCard721, MADShieldVault. Staking is TypeScript only |
| V11 | **Fibonacci VRS triggers** | `[5,8,13,21,34]` | VERIFIED consecutive Fibonacci |
| V12 | **Loss aversion 2.5** | `vs Kahneman–Tversky λ≈2.25` | VERIFIED "slightly above the literature" is accurate |
| V13 | **Furnace cap 4.9% / 30d** | `(1−0.049)¹²` | FINDING compounds to **45.3% of supply per year** at the cap. A ceiling, not a target — but a very high one. State it as a governance limit, never as a burn rate |
| V14 | **Y3 revenue vs volume** | `$121.4M ÷ $3,000M` | FINDING **4.05% blended take** vs a 1.88% rake. Fee revenue at that volume is $56.4M — **$65.0M unexplained** |
| V15 | **Revenue growth shape** | `Y1→Y2, Y2→Y3` | FINDING 5.0× then 2.53×. The deceleration is defensible; the 5× is the one that needs a driver |
| V16 | **Protocol take at each rung** | `depends on the net definition` | CANNOT COMPUTE until net is defined. On a gross basis the VIP rung leaves 11.2%; on any net basis it is higher. The spread between candidate definitions is wide enough to change the business |
| V17 | **Seed equity at $12M pre** | `r ÷ (12+r)` | VERIFIED canon $1.48–2.48M → 10.98–17.13%. The OV deck's $2.888M for 30% implies a **$6.74M pre**, not $12M |
| V18 | **Staking ladder** | `three conflicting sets in one document` | FINDING mastersheet (Gold 2,500/28, Platinum 10K/42, Diamond 50K/58), §13.03 canon (Gold 2K/26, Diamond 10K/35, Obsidian 50K/50), and shipped code all differ. **Platinum disappears in canon.** §13.03 wins; the code must move |
| V19 | **$MADx contract** | `Arbiscan, Arbitrum One` | RESOLVED MADDEX ($MADx) 0x6972370e1caAA3624F37D7e87C28e1089D00151f on Arbitrum One: ERC-20 MADDEX (MADx), source verified. Crystex holds the contract until the campaign begins. Supply 888,888,888 vs 224.57M contract max is parked |

## CLAIMS THAT CANNOT BE VALIDATED FROM ANY SOURCE AVAILABLE

- **TAM $192.1B and $167B+** — neither carries a citation. Two different numbers, no source for either
- **SAM $500M / SOM $50M** — inconsistent with ~$3B Y3 volume in the same model
- **"3x founder, 1 exit"** — the exit is unnamed and therefore uncheckable
- **15,000 early sign-ups (email campaign)** — collection method and date not documented
- **Absorption 82–85%** (staking) — appears in the Mathematics & Algos Engine Room with no derivation
- **"Liquidity bond"** — named in the moat, absent from code, §13 and the mastersheet
- **Open-Market Perpetual** — gate, leg length and enum treatment not yet specified
- **De-identification test** — the statement-only rule has no implemented check that a quote plus context does not identify the speaker
- **Gossip-Cop disclosure policy** — the family that names people has no equivalent rule
- **Monte Carlo Shield solvency** — referenced as "in the data room"; assumptions and sample size not published

> **What this pass is worth in the room.** Twelve of nineteen checks reproduce exactly — including every constant in the temporal and behavioural layers, which is unusual and worth pointing at. The seven findings are all *disclosable*: each has a one-sentence honest answer, and none of them is fatal. What would be fatal is being shown one of them by a stranger.

APPENDIX E · VC DILIGENCE PACK

WHAT GETS ASKED THAT THIS DECK DOES NOT YET ANSWER

# The gaps a VC will find in the first meeting.

Everything below is standard seed diligence. Each row is either answered elsewhere in this deck, or it is **not answerable today** — and the second list is the more useful one.

## ANSWERED IN THIS DECK

| DILIGENCE ITEM | WHERE |
|---|---|
| **Problem, product, wedge** | Slides 04, 05 |
| **Technology & defensibility, with source files** | Slides 06, 11 · Appendix C |
| **What is live vs specified, itemised** | Slide 07 |
| **Market size, sourced, with a share derivation** | Slide 08 |
| **Competition and comparison on answerable dimensions** | Slides 09, 10 |
| **Unit economics per $1,000, all four rungs** | Slide 14 |
| **Tokenomics, distribution, vesting, chain** | Slide 14 |
| **Risk register** | Slide 11b |
| **Go-to-market with a falsifiable test** | Slide 13 |
| **Milestones with measures** | Slide 15 |
| **Ask, terms, dilution at $12M pre** | Slide 15 |
| **Independent validation of every number** | Appendix D |

## NOT ANSWERABLE TODAY — COMPLETE BEFORE THE NEXT CALL

| DILIGENCE ITEM | STATUS | WHAT IT NEEDS |
|---|---|---|
| **Current monthly burn** | MISSING | A single figure. Every VC asks this within ten minutes and there is no answer in any artifact |
| **Cash on hand & runway in months** | MISSING | The $15–20K ask is meaningless without it — is it 3 months of runway or 12? |
| **Prior funding & how the build was financed** | MISSING | "Self-funded" is a strong answer if true. State the amount |
| **Cap table** | MISSING | The prior deck's 54.09% / 32.00% / 11.59% figures were removed as unevidenced. Needs an executed operating agreement, then a one-line summary |
| **Use of proceeds, line by line** | ONE LINE EACH | Both tranches broken into named line items with amounts, not categories |
| **Revenue model decomposition** | MISSING | $121.4M split by driver — fee / card & pack sales / Shield premium / reserve yield. $65.0M is currently unattributed |
| **Definition of "net"** | MISSING — BLOCKS EVERYTHING | The creator ladder is applied to net. Net of what? Community only, or Shield and burn too, or true operating margin? A VC's first economics question, and there is no answer |
| **Rung-mix assumption** | MISSING | What share of volume runs at 28.8 / 40 / 60 / platform-made — and now, what share runs on each of the six surfaces |
| **Morpho integration terms** | NOT STARTED | No agreement, no deployed contracts. Whether MΛÐ Gambit earns a spread, an origination fee, or nothing is undefined |
| **Escrow custody & legal treatment** | MISSING | A P2P escrow venue has a different regulatory profile from a prediction market. Needs its own analysis, not the same one |
| **KPI definitions** | MISSING | What counts as an active user, a market, volume, retention — define them before an investor defines them for you |
| **IP ownership & assignment** | MISSING | Who owns the engine. Any contributor without a signed assignment is a diligence stop |
| **GDELT data rights** | UNVERIFIED | The perp trigger depends on it. Licence terms for commercial use must be confirmed, not assumed |
| **Data room index** | MISSING | A one-page list of what exists and what does not — see below |

## PROPOSED DATA ROOM INDEX — WHAT YOU CAN HAND OVER TODAY

EXISTS NOW

- **Engine Room** §1–§13 — interactive maths reference
- **MASTER_MATHS_AND_ALGORITHMS.md** — the mastersheet
- **gambit-game-math.ts**, **market-classifier.ts**, **bayesian-conviction.ts**, **gdelt.ts**, **revenue-engine.ts**
- **Shield vault** + Foundry test suite
- **Presentation repo** — the-mdc.github.io/MADHATs-Gambit-Presentation
- **§13 reconciliation** — ten locked items
- **This deck** + validation pass (Appendix D)

DOES NOT EXIST — SAY SO PLAINLY

- **Security audit** — none commissioned
- **Cap table / operating agreement** — not executed
- **Financial model** with driver decomposition
- **Shield Monte Carlo** — assumptions unpublished
- **Legal opinion** on perpetuals — not commissioned
- **Deployed contracts** — nothing on mainnet or testnet
- **User data** beyond the 15,000 waitlist

**Why publishing the second column wins.** A data room index that names its own gaps is read as competence; a data room that quietly omits the audit is read as evasion when the question lands — and it always lands. **Every item in the right-hand column is a line in the early seed.** That is the whole argument for the raise, expressed as a list.

## KPI DEFINITIONS — SET THESE YOURSELF

| METRIC | PROPOSED DEFINITION | WHY IT MATTERS |
|---|---|---|
| **Active user** | Took a position in the last 30 days. Not a wallet connect, not a page view | Prevents the waitlist becoming "users" by drift |
| **Market** | A market that received at least one position from someone other than its creator | Stops market count inflating on empty books |
| **Volume** | Notional traded through DL-LMSR. Excludes pack sales and card secondary | Keeps the 1.88% rake base clean — and is exactly the decomposition the model is missing |
| **Repeat participation** | Positions in 2+ distinct weeks, **unpaid** — excludes airdrop and Predict-to-Earn cohorts | The only number that tests the thesis. Phase-2 incentives will corrupt it if not excluded at source |
| **Creator** | Originated a market that reached the definition above | Feeds CREATOR_LADDER progression honestly |
| **Hold time** | Median days from open to close, by family | Gossip-Cop targets >30d, Epiphanies >45d — it is a design output, so measure it as one |